

Chapter 8

Controlling Managerial Function

8.1. An overview of Controlling

- Controlling is the process of regulating work activity in accordance with predetermined plans as to ensure the accomplishment of organizational objectives, and if necessary take corrective actions.
- It is accomplished by comparing actual performance to predetermined standards or objectives and then taking action to correct any deviations from the standard.
- Controlling exists at every management level.
- It involves keeping the organizational activities and functions on the right track and aligned with plans and goals.

8.2. Features of Controlling

- **Controlling is an end function** - It is essentially a check-up measure. Without a sound and effective controlling mechanism a management process is incomplete and wasteful.
- **Controlling is a continuous process** - As long as the organization exists, controlling continues to exist.
- **Controlling guides behavior** - Controlling system helps in guiding and integrating employees' behavior towards broader organizational goals.
- **Controlling is a pervasive function** - It is essential at all levels of the organization.
- **Controlling allows the organization to cope with uncertainty** - It directs the organization to modify its product/service to meet the requirements of the customers, when deemed necessary.

- **Controlling prevents crises** - If a manager knows what is going on, he can easily solve any potential problem before it turns into crises.
- **Controlling standardizes outputs** - products/services can be standardized in terms of quality and quantity through the use of effective controlling mechanisms.
- **Controlling appraises employees' performance** - proper and effective controlling can provide the manager with objective information about employees' performance.
- **Controlling updates plans** - Controlling allows the manager to compare what is happening with what was planned, and update the plans.
- **Controlling protects an organization's assets** - It can help in protecting assets from waste or underutilization.
- **Control is the final link in the functional chain of management;** and it is essential to maintain the efficiency and effectiveness of an organization.

The Controlling process

- The process of controlling involves the following stages:

(i)	Establishment of standards
(ii)	Measurement of performance
(iii)	Comparison of performance with standards
(iv)	Corrective action

i. Establishment of standards

- Controlling basically starts by setting standards.

- A standard is the level of expected performance for a given goal.
- Standards are performance targets that establish desired performance levels, motivate performance, and serve as benchmarks against which to assess actual performance. Thus, they are the criteria for judging results,

The following are some of the elements of standards.

- a. Physical standards - include the quality of product, number of customers, clients, etc.
- b. Monetary standards - are standards expressed in terms of money. They include: selling costs, material costs, sales revenue, gross profit, net profit, etc.
- c. Time standards - refer to the speed with which the job is to be done.

For example, fixing the deadline with in which the job is to be performed or completed, etc.

- Standards should allow for flexibility and base on past experiences.
- Setting standards for every operation is an indispensable or inescapable task of management.

ii. **Measurement of performance**

- The step in the controlling process that follows the setting of standards is the measurement of performance.
- The common techniques used in measurement of performance include the following:

- a) Personal observation - A manager/supervisor is able to judge output by observing the pace of his workers.
- The drawback of this technique is that it is time consuming and accuracy cannot be assured.
- b) Sampling - to have a check on all of the items produced is a formidable task.
- Picking certain samples for supervision therefore eases the task of the manager.
 - However, because one pick might not represent all the others, if errors are found at the first sample, another sample should be picked to check the outcome before making a decision on the work.
- c) Written oral report: Performance measurement data or information is required to be reported to the concerned immediate manager.

iii. Comparison of performance with standards

- After the standards are set and performance is measured accurately, the immediate next step is to compare and see if there is any deviation between the two.
- Thus, comparison establishes the difference between standards and actual performances.
- If deviations are found, the management is required to study the cause, effect, size, etc. of deviation, and report the findings so that corrective steps can be taken. A deviation is usually the difference between standards and performances.

- Actual performances results and standards may not conform exactly. As a result the manager is required to set limits on the acceptable degree of deviation from standards. Thus, the manager must set control tolerance. **Control tolerance** is the variation from the standard that is acceptable to the manager.

Corrective Action

- Corrective action is a step essentially concerned with correcting unfavorable deviation from planned performance.
- We can say that the control process is incomplete and/or meaningless if immediate corrective action is not taken.
- For example, when production is lagging behind by the requirements of one-week, then immediate action would be to increase the production to cater the needs of the customers.

8.3. Types of Controls

- Types of controls include: historical (**feedback**), **concurrent** and **predictive**

Historical Control / Feedback Control

- Historical / feedback controls are post action controls focusing on the end results of the process.
- A feedback control provides information for the manager or the examiner and applies to future activities that are similar to the present one.
- The purpose is to help prevent mistakes in the future.

Concurrent Control

- Concurrent (real time) Control is a controlling technique which immediately considers and analyzes a problem to take the necessary corrective measures before any major damage is done.
- It is carried out while an activity is taking place.
- Concurrent controls usually assist in guaranteeing that the plan will be carried out at the specified times and under required conditions by making adjustments.

Predictive Control / Feed forward Control

- Predictive control/feed forward control is a controlling system that anticipates problems that the management may encounter in the future.
- Cash budget is a typical example of this type of control where the finance manager is in a position to estimate the next year's flow of cash.
- A notable characteristic of predictive control or "feed-forward" control is that, it anticipates problems and permits action to be taken before a problem occurs.

8.4. Making controls effective

- Controls are effective if they do what they were designed to do and do not create organizational problems.
- The following are the requirements of effective controls systems:
 - ***Controls must be understandable***
- Managers must have a thorough knowledge of the control tools to be used, before operating.

- They must first understand the usefulness of the control devices before they use them.
- ***Control must be flexible***
 - A control system should be as flexible as possible in order to adjust in rapidly changing and widely fluctuating organizational environments.
 - Standards and plans on which controls are based frequently need modification or revision when underlying circumstances change.
- ***Controls must be economical***
 - Control should be worth its cost.
 - Control systems become economical if appropriately tailored to the job/task, and the size of the organization.
- ***Control must be objective***
 - For effective performance, controls must be objective and clearly quantifiable and verifiable.
 - Thus, effective control system calls for objective, accurate, suitable and definite standards or plans.
 - Controls should provide useful and understandable information.
 - An effective control system provides information to the right people who can use them in correcting deviations and fostering growth.
 - An effective control system must also have the characteristics of supply the information in the required form for the purpose of analysis.

- ***Control should be forward looking***
 - An effective control system is always aiming at future. It looks forward through planning. Thus, planning and control are inseparable.
- ***Control should be selective***
 - Every organization has certain key determinants of efficiency and effectiveness
 - Therefore, management is required to concentrate on certain control points or areas which are key to organization's success.
- ***Controls should reflect the organization structure and needs***
 - Organizational structure clarifies the roles of people in organization, and control systems reflects as to who is responsible for what,
 - The control system should be the best that suits the organizational structure.
- ***Control should lead to corrective action***
 - Discovering deviations in the performance of operations is not enough.
 - Thus, an effective control system must lead to appropriate and corrective action.
 - It should identify where the problems are and who are responsible for the problems created.
 - Control system is also required to suggest the ways of improving the performance.

- Then, evaluating and implement these suggestions are the task of the management.